

## Repo rate hiked by 50 bps

Equity Research Desk

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RBI's monetary policy committee (MPC) hiked repo rate by 50 bps to 5.9% taking cumulative hikes to 200 bps so far in last 6 months' time. Major reasons for hike were geo-political uncertainty leading to rupee depreciation and higher than estimated inflation. RBI has reduced the real GDP growth projections for the current fiscal from 7.2% estimated earlier to 7% now for FY23. Inflation projection is retained at 6.7% for FY23, while its reduction going forward shall be gradual. RBI has pegged repo rate target of 6% FY23 and for FY24, implying no major hikes going forward. Assuming if rupee doesn't depreciates further and inflation remains at sub 7% levels, RBI most likely will not do further rate hikes.

We expect transmission to happen in credit markets as well, banks are likely to increase lending rates by ~30-50 bps, but after Diwali period. Transmission in bond market has already happened. Broadly, we remain positive on banking sector.

### Key Highlights of policy

- The US dollar index strengthened by 16% in last 6 months reflecting aggressive monetary policy tightening by the US Fed and expectations of future hikes. Taking these developments into consideration, RBI has pegged exchange rate at INR 80 per US dollar as baseline projection vs. earlier estimation of INR 76 US per dollar.
- Weighted average call rate has increased cumulatively by 196 bps in last 45 days. Interest rates across financial markets rates has increased. System liquidity has moderated to 2.3 trillion in Aug & Sep from >3.5 trillion in Jun & Jul month 2022. Drawdown of further CRR/SLR will benefit the support liquidity.
- CPI inflation is projected to average 6.7% by FY23 i.e. 7.1% in Q2, 6.5% and 5.8% in Q4 assuming a normal monsoon, a progressive normalisation of supply chains, and no further exogenous or policy shocks.
- GDP estimate for FY23 is pegged down from 7.2% earlier to 7% now which will be led by government capex push, growth in bank credit, improving demand conditions and rising capacity utilization.
- RBI is likely to release discussion paper of expected loan loss provisioning.
- Also, it will be releasing discussion paper on securitization of stressed assets.

## Median Projections of Professional Forecasters

|                                               | FY23  | FY24  |
|-----------------------------------------------|-------|-------|
| Inflation Q4 (YoY)                            | 6.00  | 5.00  |
| Real GDP                                      | 7.00  | 6.10  |
| Credit growth of SCBs                         | 13.00 | 11.00 |
| Repo rate                                     | 6.00  | 6.00  |
| Yield on 10 yr paper                          | 7.50  | 7.40  |
| Yield on 91 day T-Bill                        | 6.20  | 6.00  |
| Gross Domestic Saving (% of GNDI)             | 28.00 | 28.70 |
| Gross Capital Formation (% of GDP)            | 31.30 | 31.50 |
| Central govt. gross fiscal deficit (% of GDP) | 6.40  | 6.00  |

Source: RBI

## MPC Projections

|               | MPR April 2022     | MPR Sep 2022                 |
|---------------|--------------------|------------------------------|
| Exchange rate | 76/US\$            | 80/US\$                      |
| Crude Oil     | US\$100 per barrel | US\$100 per barrel           |
| Monsoon       | Normal for 2022-23 | 7% above long period average |
| Global Growth | 3.5% in FY22       | 3.2% in FY22                 |
|               | 3.5% in FY23       | 2.9% in FY23                 |

Source: RBI

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